Question 4 (c)

Centres are reminded that this is the only level-based question in the paper which is equally weighted across all four assessment objectives; AO1 – knowledge, AO2 – application, AO3 – analysis and AO4 evaluation. It is pleasing to see that most candidates made an attempt at this question – although some only managed a few lines, maybe there is a need for those individuals to plan their time better.

Candidates at level 1 made some attempt at the question and were able to make basic statements about marketing, often with very little or no context. Those candidates who accessed level 3 considered the importance of marketing in the context of PPS and the impact this can have on the business, they have then successfully linked their points together in a logical order and been able to conclude their answer with a well-balanced and justified argument .

This response scored 12 marks.

Another pet business is about to open a rival pet hotel in the village. This is the first time *PPS* has faced competition.

(c) Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business.

(12)

Marketing is the use of advertising to influence a customer into making a purchase. Marketing is very important for PPS to keep its market share. This is because PPS can use strategies such as above-the-line promotion to display pet grooming advertisements all over Athenium el Grande. This will increase the amount of new pet owner's who decide to use the pet hotel and grooming services. Therefore, PPS can still maintain and even increase their market share in pet enthusiast industry.

However this marketing technique can be disadvantageous for PPS. This because the increased demand from new customers may force Rachel to hire new overnight pet specialists as the current fear may be too overwhelmed. This will lead to a surge in monthly expense at PPS. Therefore, PPS may receive a lower profit margin for a high and more sustainable market share.

Alternatively, Rachel could implement primary market research on current pet owners of PPS. This could be done with focus groups and questionaries

after a stay at the pet hotel. This means that PPS can start producing ~~ex~~ the pet toys and services that their customers exactly need. Therefore, increasing brand loyalty and maintaining pet industry market share.

Overall, marketing is curcial for PPS to keep it's market share as this the first time they face a competitor. PPS should implement market research to create better suited cat toys while doing television adverts to bring new pet owners. This depends on how much the television time costs and the quality of market research. This may negatively affect PPS in the short term but in the long term PPS will de benefit as remaining market leader.

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This example shows that the candidate has clearly understood how marketing impacts upon PPS. They have been able to counter balance their argument well with plenty of context throughout the response. There is well thought out consideration that marketing is important to PPS. Finally, there is a conclusion that adds value to the response and effectively uses the 'it depends rule'.